

advisor” apps, like Betterment, that use algorithms to assist users on how to invest their money; and stock trading apps, like RobinHood, that provide commission-free investing and trading.

The major downside to these applications is that they cost a monthly subscription fee, which can often be quite high compared to the returns on your investment you are receiving each month. In this case, sometimes traditional investment companies like Charles Schwab or Vanguard, which both have electronic and low-fee options, may be a better option.⁶⁷

If you are interested in investing, make sure you have enough money to meet your daily needs, as well as emergency savings funds, in case your investment loses money. Investments can be risky and a person or family should reach financial stability and resiliency before investing.

Direct Deposit/ACH payments

ACH stands for “Automated Clearing House” and is a financial network used for electronic payments and money transfers in the United States. Many employers, instead of handing or mailing your paychecks, have switched over to directly depositing money into your account. If your employer deposits money directly into your account or you pay your bills online, ACH payments are most likely occurring.⁶⁸

When you begin a job that prefers direct deposit payments, you will often need to provide your employer with your checking or savings account number and your bank’s routing number. These can be found on a blank check (see Workshop 4) or your account information on your bank’s app or website. Sometimes you will need to request a Direct Deposit/ACH letter from your bank to get this information.

Payments from Social Security⁶⁹

If you qualify for Social Security benefits, you must receive your payments electronically. One way to receive your benefits is through direct deposit. It is a simple, safe, and secure way to get benefits. Contact your bank to help you get set up with direct deposit or sign up through the SSA. The other way to receive your benefits is through an electronic debit card, called the Direct Express card. This card is:

⁶⁷ Julia Glum. “Do Investing Apps Actually Work? Here’s What to Know Before you Commit.” *Money*, Dec. 16, 2019. <https://money.com/investing-apps-pros-cons/>

⁶⁸ “What are ACH Payments and Should I Accept Them?” *Square*, 2021. <https://squareup.com/us/en/townsquare/ach-payments>

⁶⁹ “Get Your Payments Electronically” *Social Security Administration*, Dec. 2020. <https://www.ssa.gov/pubs/EN-05-10073.pdf>

- **Convenient and reliable:** Your money will be automatically loaded onto your card on payment day each month. You will have access to your money at all times.
- **Easy to use:** You can make purchases, pay bills online, get cashback at stores, get cash at an ATM or from bank or credit union tellers; or buy money orders at the post office.
- **Secure.** Similar to a regular debit card, you have a PIN that protects your account. The money in your card account is protected and insured for up to \$250,000 by the FDIC.
- **Funds are protected from creditors:** Federal law makes it illegal for a creditor to seize your Social Security benefits. This includes benefits you get on a debit card.
- **It's free to use the card:** There are no sign-up or monthly fees, though some optional services do charge fees.

Visit <https://www.ssa.gov/deposit/howtosign.htm> to sign up for Direct Deposit or Direct Express.

Automatic Bill Payments

Automatic bill pay can be a convenient way to pay most of your monthly bills. The money is automatically taken from your checking account on the same day every month (if the date lands on a holiday or a Sunday, it is usually taken out the next business day). It is relatively easy to set up by phone or through a company's website. You will need the name of your bank, your checking account or debit/credit card number, and your account number that appears on your bills.

What to consider before deciding to use automatic bill pay:

- Check the due dates and make sure the money is in your account. Can you guarantee your account will have enough money for each bill every month when it's due? You may incur fees from your bank *and* the company if your account has insufficient funds.
- Check your statements for discrepancies in your bills. It's easy to overlook mistakes if the bill is taken care of automatically.
- Keep records. If you only get receipts through emails, flag or print them.
- To protect your identity with various accounts, don't use easy-to-guess passwords. Make sure your computer has up-to-date anti-virus software installed.⁷⁰

⁷⁰ Original material from Peerlink National Technical Assistance Center.